

Liquid Environmental Services Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Restaurant Technologies, Liquid Environmental Solutions, Waste Resources Management, and Wind River Environmental

SUBVERTICAL THESIS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	Onsite 8% Route 9%	Rationale. Onsite growth comes from installed kitchens, chain wins, throughput, and price after removing commodity pass-through. Support / caveat. RTI serves 45,000-plus kitchens through 41 depots but has no organic/commodity bridge. CONFIDENCE: MIXED BY ARCHETYPE
EBITDA margin	Onsite 21% Route 28%	Rationale. RTI benefits from sticky service and recovered-oil value but bears fresh-oil, installation, depot, and field costs. Support / caveat. S&P supported ratings-adjusted EBITDA margins above 30% for LES, the cleanest disclosed route processor. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	Onsite 3.5% Route 5.0%	Rationale. RTI sustains installed tanks, pumps, filtration, monitoring, and vehicles; new installs are growth capex. Route processors replace vacuum trucks and maintain treatment, environmental, and safety systems. Support / caveat. RTI has 41 depots and 45,000-plus sites; LES reports 670 field vehicles; Wind River reports 1,000 vehicles and 16 plants. CONFIDENCE: MIXED BY ARCHETYPE
Post-maintenance capex conversion	Onsite 83% Route 82%	Rationale. Both models convert recurring EBITDA well before financing, working capital, and growth capex. Support / caveat. The ranges are derived as (EBITDA - maintenance capex) / EBITDA. Company central cases are RTI 83%, LES 87%, WRM 83%, and Wind River 75%. CONFIDENCE: MIXED BY COMPANY
Initial contract tenor	Onsite 4 yrs Route 2 yrs	Rationale. RTI likely needs a multi-year term to underwrite onsite equipment. Support / caveat. No company publishes a standard term. CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	Onsite 9 yrs Route 7 yrs	Rationale. Equipment, workflow, safety value, and the nuisance of manual oil handling make RTI sticky. Support / caveat. RTI has equipment embedded in more than 45,000 commercial kitchens. CONFIDENCE: MEDIUM
Utilization exposure	Onsite Moderate Route Moderate-High	Rationale. RTI equipment can remain deployed while oil throughput softens, so gallons per kitchen and depot density matter. Support / caveat. RTI combines 45,000-plus installed kitchens with 41 depots. CONFIDENCE: MIXED BY ARCHETYPE
New-unit / customer payback	Onsite 2.5 yrs Route 1.25 yrs	Rationale. RTI recovers hardware, installation, acquisition, and route support from whole-relationship contribution. Support / caveat. RTI cites \$250 and nine labor hours of weekly customer savings, not unit contribution. CONFIDENCE: MIXED BY ARCHETYPE
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Rationale. RTI sells to commercial kitchens and institutions. LES and most WRM customers are commercial or industrial. Support / caveat. About 60% of RTI revenue was QSR-related in 2022. CONFIDENCE: HIGH

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HOW TO READ THE UNIVERSE All four businesses solve recurring oil or wastewater needs, but the bottleneck differs: installed customer-site systems versus dense routes and permitted treatment capacity. That distinction drives the estimates.	
Restaurant Technologies WHAT IT DOES Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems. ECONOMIC MODEL Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mix product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots. SUPPORTING EVIDENCE 45,000-plus kitchens, 41 depots, 1,200-plus employees; about 60% of 2022 revenue was QSR-related. Margin, capex, terms, and payback are derived; S&P reported 2024 cash deficits despite durable revenue.	Liquid Environmental Solutions WHAT IT DOES Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance. ECONOMIC MODEL Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk. SUPPORTING EVIDENCE 1,020 employees, 670 vehicles, 95 facility/partner sites, 129,500 locations; earlier 24 plants and 300-plus vacuum trucks. S&P supports margins above 30%. Owned/partner mix, organic growth, churn, and maintenance capex are unavailable.
Waste Resources Management WHAT IT DOES Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites. ECONOMIC MODEL Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets. SUPPORTING EVIDENCE 10,000-plus clients, four states, 300-plus employees; a 2026 deal adds 13 metros. Mixed McDonald Farms services reduce purity. Central: 10% growth, 26% EBITDA, 4.5% maintenance capex, six-year tenure, 1.25-year incremental payback; capex confidence Low.	Wind River Environmental WHAT IT DOES East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks. ECONOMIC MODEL Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure. SUPPORTING EVIDENCE 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions, 16 plants processing 200 million-plus gallons. Central: 9% growth, 22% EBITDA, 5.5% maintenance capex, eight-year tenure, 1.5-year incremental payback. Only clearly mixed B2B-B2C company.
KEY DILIGENCE QUESTIONS 1. Obtain current standalone revenue and EBITDA for all four private companies and separate organic growth from... 2. Confirm contract forms, renewal mechanics, and cohort churn. 3. Build maintenance capex by asset class: RTI onsite systems and service vehicles; route-company vacuum...	